Type MS · Why businesses charge depreciation

Answer 1 of 9 · Question 18 part d · 2 marks

2024 JUN · Paper 01 · extract 1 of 2 · find part d in this mark scheme extract

Number		
18(a)	**Award marks for correct dates, details and amounts in combination.** **Wages Account** **Date** / **Details** / **$** / **Date** / **Details** / **$** 2023 May 1 / Balance b/d / 920 **(1)** / 2023 May 1 / Balance b/d / 1 580 **(1)** 2024 Apr 30 / Cash book /Bank / 87 900 **(1)** / 2024 Apr 30 / Income statement / 91 470 **(1of)** / Balance c/d / 4 230 / / / / / / 93 050 / / / 93 050 / / / 2024 May 1 / Balance b/d / 4 230 **(1)**	**(5)**

Question Number	Answer	Mark
18(b)	**Award marks for correct dates, details and amounts in combination.** **Rent Receivable Account** **Date** / **Details** / **$** / **Date** / **Details** / **$** 2024 Apr 30 / Income statement / 7 300 **(1of)** / 2023 May 1 / Balance b/d / 800 **(1)** / Balance c/d / 1 300 / 2024 Apr 30 / Cash book /Bank / 7 800 **(1)** / / 8 600 / / / 8 600 / / / 2024 May 1 / Balance b/d / 1 300 **(1)**	**(4)**

Type MS · Why businesses charge depreciation

Answer 1 of 9 · Question 18 part d · 2 marks

2024 JUN · Paper 01 · extract 2 of 2 · find part d in this mark scheme extract

Question Number	Answer	Mark
18(c)	**Award marks for correct details and amounts in combination.** **Motor Vehicles - Provision for Depreciation Account**	**(4)**

Date	Details	$	Date	Details	$
2023 Sep 30	Disposal	11 200 **(1)**	2023 May 1	Balance b/d	85 000 **(1)**
2024 Apr 30	Balance c/d	101 000	2024 Apr30	Income statement	27 200 **(1)**
		112 200			112 200
			May 1	Balance b/d	101 000 **(1)**

Question Number	Answer	Mark
18(d)	**Award one mark for identification of the concept and one mark for explanation.** **Sample answer** In accordance with the accruals concept **(1)** depreciation matches the cost of the non-current asset with its use over a period. **(1)** **OR** In accordance with the prudence concept **(1)** to avoid overstating the value of non-current assets / profit for the year **(1)** **Accept any other appropriate responses.**	**(2)**

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Why businesses charge depreciation

Answer 2 of 9 · Question 18 part e · 2 marks

2024 JUN · Paper 01 (regional R) · extract 1 of 2 · find part e in this mark scheme extract

18(a)	**Award 1 mark for each correct reason up to max 2 marks.** Wear and tear **(1)** Depletion **(1)** Obsolescence **(1)** Passage of time **(1)**	**(2)**

Question Number	Answer	Mark
18(b)	**Award up to two marks for each explanation** **Capital expenditure** is money spent on the purchase or improvement of non-current assets **(1)** which are purchased by the business for long term use. **(1)** **Revenue expenditure** is money spent on the day to day running of a business **(1)** which benefits the business in the short term. **(1)** **Accept any other appropriate responses**	**(4)**

Question Number	Answer	Mark
18(c)(i)	**Award mark as indicated.** $4 000 **(1)**	**(1)**

Question Number	Answer	Mark
18(c)(ii)	**Award mark as indicated.** $2 400 **(1)**	**(1)**

Type MS · Why businesses charge depreciation

Answer 2 of 9 · Question 18 part e · 2 marks

2024 JUN · Paper 01 (regional R) · extract 2 of 2 · find part e in this mark scheme extract

Question Number	Answer	Mark
18(d)	**Award marks for correct dates, details and amounts in combination.**	

Machinery - Provision for Depreciation Account

Date	Details	$	Date	Details	$
31 Dec 2022	Balance c/d	12 000	31 Dec 2022	Income statement / Depreciation charge	12 000 **(1)**
		12 000			12 000
31 Dec 2023	Balance c/d	21 600	1 Jan 2023	Balance b/d	12 000 **(1)**
			31 Dec 2023	Income statement / Depreciation charge	9 600 **(1)**
		21 600			21 600
			1 Jan 2024	Balance b/d	21 600 **(2/1of)**

(5)

Question Number	Answer	Mark
18(e)	**Award up to two marks for a valid reason.** **Sample answer** As the business will benefit from using the non-current assets over several years it needs to match the benefit **(1)** with the cost of using the asset in the income statement **(1).** **Accept any other appropriate responses.**	**(2)**

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Why businesses charge depreciation

Answer 3 of 9 · Question 5 part whole · 1 mark

2019 JUN · Paper 01 (regional R) · find part whole in this mark scheme extract

5	**D** To spread the cost of the asset over its useful life	**(1)**

Type MS · Why businesses charge depreciation

Answer 4 of 9 · Question 6 part whole · 1 mark

2022 JUN · Paper 01 · find part whole in this mark scheme extract

6	**D**	**To spread the cost of the asset over its useful life**	**(1)**

Type MS · Why businesses charge depreciation

Answer 5 of 9 · Question 7 part whole · 1 mark

2023 JAN · Paper 01 · find part whole in this mark scheme extract

7	D	To spread the cost over its expected useful life	(1)
	A	Account to be debited Account to be credited	

Type MS · Why businesses charge depreciation

Answer 6 of 9 · Question 6 part whole · 1 mark

2025 JUN · Paper 01 · find part whole in this mark scheme extract

6	**D To spread the cost over its useful life**	**(1)**

Type MS · Why businesses charge depreciation

Answer 7 of 9 · Question 8 part whole · 1 mark

2025 NOV · Paper 01 · find part whole in this mark scheme extract

8	**D To spread the cost over its useful life**	**(1)**

Type MS · Why businesses charge depreciation

Answer 8 of 9 · Question 18 part a · 2 marks

2023 NOV · Paper 01 · extract 1 of 2 · find part a in this mark scheme extract

18(a)	**Award up to 2 marks.** Depreciation is an estimate of the loss in value of a non-current asset **(1)** which should be matched against the revenue generated **(1)** **Accept any other appropriate responses.**	**(2)**

Question Number	Answer	Mark
18(b)	**Award one mark for correct figures as indicated.** **Award one mark for all correct dates and details.**	**(9)**

Motor Vehicles - Cost Account

Date	Details	$	Date	Details	$
Jan 1	Balance b/d	76 600 **(1)**	Mar 1	Disposal	18 000 **(1)**
Jun 1	Cash book / bank	21 500 **(1)**	Dec 31	Balance c/d	80 100
		98 100			98 100
Jan 1	Balance b/d	80 100 **(1)**			

Disposal Account

Date	Details	$	Date	Details	$
Mar 1	Motor vehicles – (cost)	18 000 **(1)**	Mar 1	(Motor vehicles) – provision for depreciation	7 875 **(1)**
Dec 31	Income statement	1 875 **(1of)**		Cash book/ bank	12 000 **(1)**
		19 875			19 875

Type MS · Why businesses charge depreciation

Answer 8 of 9 · Question 18 part a · 2 marks

2023 NOV · Paper 01 · extract 2 of 2 · find part a in this mark scheme extract

Question Number	Answer	Mark
18(c)(i)	**Award mark as indicated.** Overstated | Understated | No effect | (✓)(1)	**(1)**

Question Number	Answer	Mark
18(c)(ii)	**Award up to 3 marks.** The purchase of a new motor vehicle will benefit the business for more than one year **(1)** If the purchase of a new motor vehicle is not treated as capital expenditure it would result in non-current assets being understated **(1)** and the profit for the year also being understated **(1).** **Accept any other appropriate responses.**	**(3)**

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Why businesses charge depreciation

Answer 9 of 9 · Question 2 part c.ii · 2 marks

2022 JUN · Paper 02 (regional R) · extract 1 of 3 · find part c.ii in this mark scheme extract

2(a)

Award marks as indicated.

Ali

Income statement for the year ended 30 April 2022

		$	$
Income			72 160 **(1)**
Wages		15 710 **(1)**	
Fuel	**W1**	8 310 **(2)**	
Insurance		550 **(1)**	
Depreciation		6 000 **(1)**	
Office rent and rates	**W2**	7 200 **(2)**	
Irrecoverable debts		70 **(1)**	
Provision for irrecoverable debts		20 **(1)**	
Bank interest		40 **(1)**	37 900
Profit for the year			34 260 **(1of)**

W1 $8 310 **(2)**

$8 140 + ($480 - $310) **(1)** = $8 310 **(1of)**

W2 $7 200 **(2)**

$7 800 + ($600 - $1 200) **(1)** = $7 200 **(1of)**

(12)

Type MS · Why businesses charge depreciation

Answer 9 of 9 · Question 2 part c.ii · 2 marks

2022 JUN · Paper 02 (regional R) · extract 2 of 3 · find part c.ii in this mark scheme extract

Question number	Answer	Mark
2(b)	**Award marks as indicated.**	(8)

Ali
Statement of financial position at 30 April 2022

Assets	**$**	**$**	**$**
Non-current assets	**Cost**	**Accumulated depreciation**	**Carrying value**
Motor vehicle	34 000	18 000	16 000 **(1of)**
Current assets			
Trade receivables	3 200		
Provision for irrecoverable debts	(160)	3 040 **(1of)**	
Other receivables		1 310	4 350 **(1of)**
Total assets			20 350
Equity and liabilities			
Equity			
Opening equity		17 100 **(1)**	
Profit for the year		34 260	
Drawings		(35 350)	
Total equity			16 010 **(1of)**
Non-current liabilities			
Bank loan			1 800 **(1)**
Current liabilities			
Other payables		480	
Bank overdraft		2 060	
			2 540 **(1)**
Total liabilities			4 340
Total equity and liabilities			20 350 **(1of fb)**

Type MS · Why businesses charge depreciation

Answer 9 of 9 · Question 2 part c.ii · 2 marks

2022 JUN · Paper 02 (regional R) · extract 3 of 3 · find part c.ii in this mark scheme extract

Question number	Answer	Mark
2(c)(i)	**Award 1 mark for explaining the concept plus marks as indicated for development.** **Sample answer** Prudence concept states that profits and assets should not be overstated and losses and liabilities should not be understated**(1)**. Writing off an irrecoverable debt ensures that the net profit/profit for the year is not overstated **(1)** and trade receivables are not overstated **(1)**. **Accept any other appropriate responses.**	**(3)**

Question number	Answer	Mark
2(c)(ii)	**Award 1 mark for explaining the concept plus 1 mark as indicated for development.** **Sample answer** Accruals concept states that revenue of the accounting period should be matched against the costs of the same period whether paid or not **(1)**. Providing for depreciation ensures that the costs of the motor vehicle are matched with the income/benefits earned during the same period **(1).** **Accept any other appropriate responses.**	**(2)**

(Total for Question 2 = 25 marks)